भारतीय रिज़र्व बैंक
RESERVE BANK OF INDIA

RBI/DOR/2025-26/348

DOR.AUT.REC.No.267/24-01-041/2025-26 November 28, 2025

Reserve Bank of India (Non-Banking Financial Companies – Credit Cards: Issuance and Conduct) Directions, 2025

Table of Contents

Chapter I – Preliminary 2

Chapter II – Conduct of Credit Card Business 6

Chapter III – Form Factor 22

Chapter IV – Co-branding Arrangement 23

Chapter V – General Guidelines for Credit Cards 25

Chapter VI – Miscellaneous 31

Chapter VII – Repeal and Other Provisions 34

In exercise of the powers conferred by Chapter IIIB of the Reserve Bank of India Act, 1934 and all other provisions / laws enabling the Reserve Bank of India ('RBI') in this regard, RBI being satisfied that it is necessary and expedient in the public interest so to do, hereby, issues the Directions hereinafter specified.

Chapter I – Preliminary

A. Short Title and Commencement

1. These Directions shall be called the Reserve Bank of India (Non-Banking Financial Companies - Credit Cards: Issuance and Conduct) Directions, 2025.

2. These Directions shall come into force with immediate effect.

B. Applicability

3. These Directions shall be applicable to following Non-Banking Financial Company (hereinafter collectively referred to as 'NBFCs' and individually as an 'NBFC'), for all layers, unless specified otherwise:

   (i) NBFC-Investment and Credit Company (NBFC-ICC) registered with the RBI under the provisions of the RBI Act, 1934;

   (ii) NBFC-Factor registered with the RBI under the provisions of the Factoring Regulation Act, 2011;

   (iii) NBFC-Micro Finance Institution (NBFC-MFI) registered with the RBI under the provisions of the RBI Act, 1934;

   (iv) HFC registered with the RBI under the provisions of the NHB Act, 1987;

   Note: The applicability under these Directions is in line with the regulatory structure for NBFCs as set out in Reserve Bank of India (Non-Banking Financial Companies – Registration, Exemptions and Framework for Scale Based Regulation) Directions, 2025.

4. These Directions cover the general and conduct regulations relating to credit and co-branded cards which shall be read along with prudential, payment and technology & cyber security related Directions applicable to credit and co-branded cards, as issued by the Reserve Bank.

C. Definitions

5. In these Directions, unless the context otherwise requires, the terms herein shall bear the meanings assigned to them below:

(1) **Add-on Credit Card** means a supplementary credit card to the principal or primary credit card, issued to person/s with predefined relationship with the primary cardholder, within the credit limits and liability of the latter, subject to such terms and conditions as stipulated by the card-issuer.

(2) **Annual Percentage Rate** is the annual cost of credit to the cardholder which includes interest rate and all other charges associated with the credit card under different scenarios based on card features.

(3) **Billing Cycle / Billing Period** is the regular length of time between closing dates of two consecutive bills raised by the card-issuer.

(4) **Business Credit Cards** are issued to business entities / individuals for the purpose of business expenses with specified terms and conditions and not for personal use.

(5) **Cardholder** is a person to whom a card is issued or one who is authorized to use an issued card.

(6) **Card-issuer** is an NBFC which has been permitted by RBI to issue credit cards in India.

(7) **Card Loyalty / Reward Programme/s** are those schemes linked to a credit card whereby the card-issuer or associated merchant establishments, upon use of the card/s, offer digital coupons, points, discounts, cash backs or other benefits having monetary value that can be used/redeemed for the same transactions or other future transactions after accumulation.

(8) **Charge Card** is a type of credit card where the user has to pay the billed amount in full on due date after the billing cycle, and no rolling over of credit to the next billing cycle is permitted.

(9) **Co-branded Card** is a card that is issued jointly by a card-issuer and a co-branding entity bearing the names of both the partnering entities.

(10) **Convenience Fee** is a fixed or pro-rata charge on use of credit cards as one of the alternative forms of payment which is not ordinarily accepted vis-à-vis other forms of payment.

(11) **Corporate Credit Card** is a credit card that is issued to specific employee/s of a corporate employer wherein the liability could rest with the corporate entity or the employee or jointly on both, as per the product design features.

(12) **Credit Card** is a physical or virtual payment instrument containing a means of identification, issued with a pre-approved revolving credit limit, that can be used to purchase goods and services or draw cash advances, subject to prescribed terms and conditions.

(13) **Credit Limit** is the maximum amount of revolving credit determined and notified to the cardholder to transact in the credit card account.

(14) **Form Factor** is the physical or virtual instrument that can be used in place of a card to undertake a payment / banking transaction.

(15) **Interest-Free Credit Period** is the time period from the date of transaction to the due date of payment, wherein interest free payment can be made, subject to the payment of entire outstanding on or before the payment due date by the cardholder.

(16) **Minimum Amount Due** is the minimum amount of money, as a part of the total bill amount, that a cardholder has to pay to not be treated as an overdue bill.

(17) **Most Important Terms and Conditions (MITC)** are the standard set of conditions for the issuance and usage of credit cards, thereby defining the responsibilities and liabilities of the card-issuer and the cardholder.

(18) **Prepaid Card** is a Prepaid Payment Instrument as defined in the Master Direction on Prepaid Payment Instruments dated August 27, 2021.

(19) **Principal Cardholder** means the customer who has been issued credit card by a card-issuer and on whose name the card account has been opened.

(20) **Total Amount Due** is the total amount (net of credit received during the billing cycle, if any) payable by the cardholder as per the credit card statement generated at the end of a billing cycle.

(21) **Unsolicited Credit Card** is a credit card issued without a specific written/digital request or an application therefor.

Provided that the issuance of a credit card for renewal or replacement shall not be treated as an unsolicited card.

Renewal contemplates the issuance of a new card on account of expiry of an existing card and replacement includes issuance of a new card in place of an existing card in lieu of the change in the underlying account relationship, upgradation due to new technology or systems or re-issuance of cards that have been lost, blocked or suspended temporarily, but does not include the opening of a new account after a previous account was closed.

(22) **Upgradation of Credit Card** means enhancement in the benefits and features of credit cards issued, for example, an increase in the credit or cash limit of the card.

6. All other expressions unless defined herein shall have the same meaning as have been assigned to them under the Banking Regulation Act, 1949 or the Reserve Bank of India Act, 1934 or any statutory modification or re-enactment thereto or as used in commercial parlance, as the case may be.

Chapter II – Conduct of Credit Card Business

A. Eligibility

7. Non-Banking Financial Companies registered with the Reserve Bank shall not undertake credit card business without prior approval of the Reserve Bank. Any company including a non-deposit taking company intending to engage in this activity shall require a Certificate of Registration, apart from specific permission to enter into this business, the pre-requisite for which is a minimum net owned fund of ₹100 crore and subject to such terms and conditions as the Reserve Bank may specify in this regard from time to time. Without obtaining prior approval from the Reserve Bank, NBFCs shall not issue, credit cards, charge cards, or similar products virtually or physically.

B. Role of Board

B.1 Board Approved Policy and Procedures

8. Each card-issuer shall have a well-documented Board approved policy for the issuance and conduct of credit cards. The Board approved policy shall be in consonance with various instructions on the subject issued by the Reserve Bank from time to time, as well as these Directions. The Board approved policy shall be available on the website of the card-issuer.

9. The policy should, inter alia, cover the following aspects:

   (1) Interest rate ceiling and other charges.

   (2) Procedure for reporting default status to a Credit Information Company (CIC)

   (3) Co-branding arrangement (as applicable).

   (4) Standard operating procedure for discretionary blocking / deactivating / suspending a credit card.

   (5) Time period for completion of formalities after blocking a lost card.

   (6) Redressal of grievances and compensation framework.

10. The specific aspects to be addressed in these policies / procedures are detailed in the relevant paragraphs of these Directions.

B.2 Review by the Audit Committee of the Board

11. Card-issuers shall put in place a mechanism for review of their credit card operations on half-yearly basis by the Audit Committee of the Board of Directors. The review shall include, inter-alia, customer service, frauds, complaints and grievance redressal, card usage analysis including cards not used for long durations and the inherent risks therein.

C. Issue of Credit Cards

12. Customer Acquisition:

(1) Card-issuers shall provide a one-page Key Fact Statement along with the credit card application containing the important aspects of the card such as rate of interest, quantum of charges, among others. In case of rejection of a credit card application, the card-issuer shall convey in writing the specific reason/s which led to the rejection of the application.

(2) The MITC as given in Chapter VI of these directions, shall be highlighted and published / sent separately to the customers, at the acceptance stage (welcome kit) and in important subsequent communications. The MITC shall be provided to the customer (preferably in English, Hindi and local language) at the time of onboarding and each time, a condition is modified with notice to the customer. The MITC and copy of the agreement signed /digitally signed between the card-issuer and cardholder shall be sent to the registered email address of the cardholder holder or postal address as per the choice of the customer.

(3) Card-issuers may consider introducing, at the option of the customers, an insurance cover to take care of the liabilities arising out of lost cards, card frauds, etc. In cases where the card-issuers are offering any insurance cover to their cardholders, in tie-up with insurance companies, the card-issuers shall obtain explicit consent in writing or in digital mode from the cardholders along with the details of nominee/s.

(4) The issue of unsolicited cards / upgradation is strictly prohibited. In case, an unsolicited card is issued / existing card upgraded and activated without the

explicit consent of the recipient and the latter is billed for the same, the card-issuer shall not only reverse the charges forthwith, but also pay a penalty without demur to the recipient amounting to twice the value of the charges reversed. In addition, the person in whose name the card is issued can also approach the RBI Ombudsman who would determine the amount of compensation payable by the card-issuer to the recipient of the unsolicited card as per the provisions of the Ombudsman Scheme, i.e., for loss of complainant's time, expenses incurred, harassment and mental anguish suffered by him / her.

Explanation: In case a customer receives an unsolicited card, he / she should refrain from activating or providing consent for activation of card through OTP or any other means. If no consent is received for activating the card, the card-issuer is required to close the credit card account without any cost to the customer within seven working days from the date of seeking confirmation from the customer and shall also intimate the customer that the credit card account has been closed. Subsequent to receiving the intimation from the card-issuer that the card account has been closed, the customer shall destroy the card.

(5) There have been instances where unsolicited / applied-for cards have been misused before reaching the persons in whose names these have been issued. It is emphasised that any loss arising out of misuse of such unsolicited cards shall be the responsibility of the card-issuer only and the person in whose name the card has been issued shall not be held responsible for the same.

(6) Card-issuers shall seek One Time Password (OTP) based consent from the cardholder for activating a credit card, if the same has not been activated by the customer for more than 30 days from the date of issuance. If no consent is received for activating the card, card-issuers shall close the credit card account without any cost to the customer within seven working days from date of seeking confirmation from the customer. In case of a renewed or replaced card, the closure of an inactivated card shall be subject to payment of all dues by the cardholder.

Explanation: (i) Customer-initiated process indicating intent to use a credit card such as PIN generation, modification of transaction control, Interactive Voice